

Superstore Sales Performance Report

Business analysis of 9,994 order lines (5,009 orders, 793 customers), 2014-01-03 to 2017-12-30. Prepared for the business leadership team.

Executive summary

The business is growing but is far less profitable than it should be. Sales reached **\$2,297,201** with **\$286,397** profit (**12.5%** margin). Sales grew from \$484,248 in 2014 to \$733,215 in 2017, but the main profit leak is **heavy discounting**: the 14% of order lines sold at 30% discount or more lost **\$135,376** in total. Profit growth should come from fixing discounts, Furniture and the Central region before adding more volume.

Sales	Profit	Margin	Orders	Customers	Avg discount
\$2,297,201	\$286,397	12.5%	5,009	793	15.6%

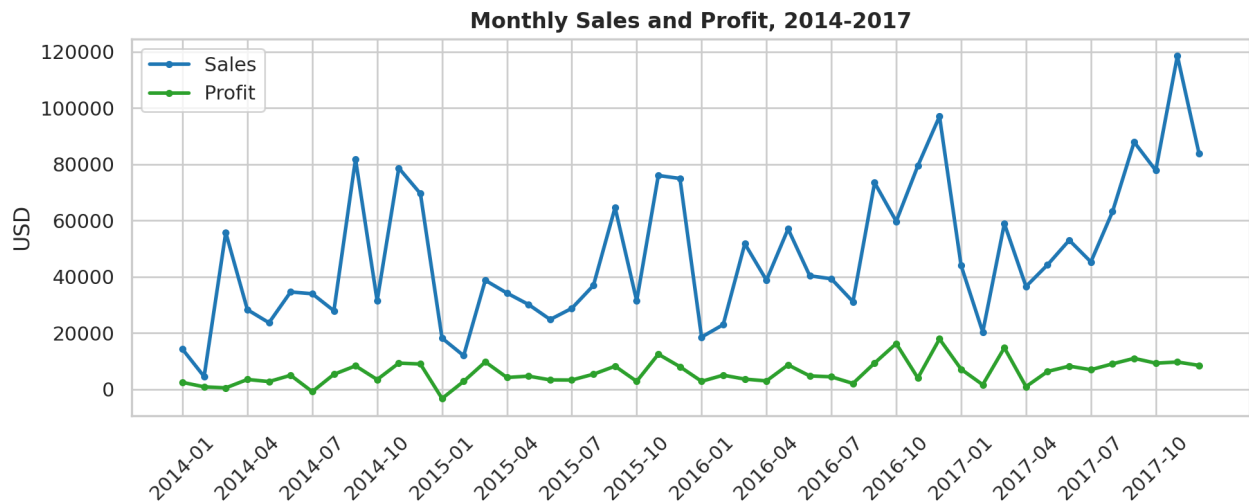
1. Which products generate the most revenue?

Technology is the largest category by sales (\$836,154), followed by Furniture (\$742,000) and Office Supplies (\$719,047). The top five products by sales are shown below. Higher sales do not always mean higher profit: the Cisco TelePresence System lost money despite ranking in the top three.

Product	Sales	Profit
Canon imageCLASS 2200 Advanced Copier	\$61,600	\$25,200
Fellowes PB500 Electric Punch Plastic Comb Binding Machine with Manual	\$27,453	\$7,753
Cisco TelePresence System EX90 Videoconferencing Unit	\$22,638	-\$1,811
HON 5400 Series Task Chairs for Big and Tall	\$21,871	\$0
GBC DocuBind TL300 Electric Binding System	\$19,823	\$2,234

2. How do sales change over time?

- Yearly sales: \$484,248 (2014), \$470,533 (2015, -3%), \$609,206 (2016, +29%), \$733,215 (2017, +20%).
- Strong seasonality: September, November and December together bring **43%** of annual sales; Q4 alone is 38%.
- Margins rose from 10.2% (2014) to about 13.4% (2016) and eased to 12.7% in 2017, so 2017 growth was bought partly with lower profitability.

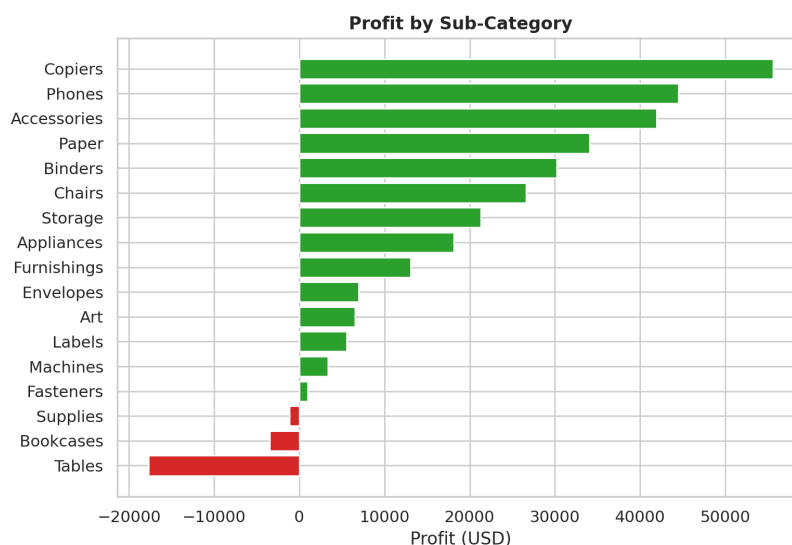


3. Which categories and regions are most profitable?

Category	Sales	Profit	Margin
Furniture	\$742,000	\$18,451	2.5%
Office Supplies	\$719,047	\$122,491	17.0%
Technology	\$836,154	\$145,455	17.4%

Region	Sales	Profit	Margin	Avg discount
Central	\$501,240	\$39,706	7.9%	24.0%
East	\$678,781	\$91,523	13.5%	14.5%
South	\$391,722	\$46,749	11.9%	14.7%
West	\$725,458	\$108,418	14.9%	10.9%

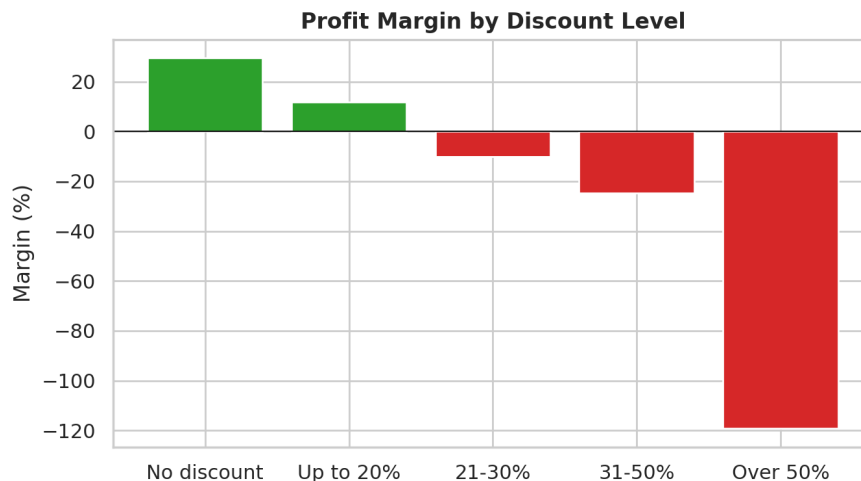
- **Technology and Office Supplies** earn about 17% margins. **Furniture earns only 2.5%** on \$742,000 of sales.
- **Tables (-\$17,725), Bookcases (-\$3,473) and Supplies (-\$1,189)** lose money. Tables carry an average discount of 26%.
- **West** is the most profitable region (14.9%); **Central is the weakest (7.9%)** and gives the deepest discounts (24.0% on average).
- Largest loss-making states: Texas (-\$25,729), Ohio (-\$16,971), Pennsylvania (-\$15,560), Illinois (-\$12,608), North Carolina (-\$7,491).



4. Where should the business focus to grow faster?

Discounting is the clearest lever. Margin falls steadily as discount rises and turns negative above 20%:

Discount level	Sales	Profit	Margin
No discount	\$1,087,908	\$320,988	29.5%
Up to 20%	\$846,522	\$100,785	11.9%
21-30%	\$103,227	-\$10,369	-10.1%
31-50%	\$195,315	-\$48,448	-24.8%
Over 50%	\$64,229	-\$76,559	-119.2%



Recommendations

- 1. Cap discounts at 20%.** Lines at 30%+ discount lost \$135,376, almost as much as the \$286,397 profit the business earned overall. Require manager approval above 20%.
- 2. Reprice or rationalise Tables, Bookcases and Supplies.** Raise prices or cut discounts, and review supplier cost. Tables are profitable when the discount stays at or below 20%.
- 3. Fix the Central region.** Its average discount is more than double West's. Align discount policy to West's and review Texas, Ohio, Pennsylvania and Illinois first.
- 4. Plan for peak season.** September to December brings most sales: secure inventory and staffing early, and run promotions without deep discounts.
- 5. Protect and grow loyal customers.** 98% of customers reorder and the top 10% generate 31% of sales. Use loyalty offers and account management rather than price cuts, and check that the largest accounts are profitable.
- 6. Push high-margin lines.** Copiers, Accessories, Paper and Phones combine strong sales or margin and should lead marketing.

Data and method

Source: Sample Superstore (Kaggle), 9,994 order lines. Cleaning: Latin-1 decoding, whitespace trimming, date parsing (m/d/yyyy), duplicate and missing-value checks (none found), derived Year, Month and Profit Margin fields. $\text{Margin} = \text{Profit} / \text{Sales}$. Currency assumed USD. The dataset is a sample and may not represent a real company, and cost data is available only as profit, so findings show where profit is lost rather than why costs are what they are. An interactive version with filters is in [dashboard/index.html](#).